rupee slide. The pressure on currency has continued in the financial year ***2012-13*** because of the ongoing euro-zone crisis.

- The import cover of FER, as a result, has declined from 14.4 months of imports in 2007-08 to 7.1 months in 2011-12. There are costs to intervention. The main cost is the release of corresponding rupee liquidity, when RBI intervenes in the market to buy foreign exchange. This may stoke ***inflation***, which may not appeal in the current inflationary situation.
- Past experience, however, shows that measures like *Market Stabilization Scheme* (MSS) have been effective in draining excess liquidity from the system. Countries like China and Turkey use cash reserve ratio (CRR) for the same purpose. The cost of a particular policy, however, has to be weighed against the benefits, which are manifold –

(i) Intervention to buy FER during surge in capital leads to build-up of reserves, which provides self-insurance against external vulnerability.

(ii) The higher reserve levels restore investor confidence and may lead to an increase in foreign direct and portfolio investment flows that spurs growth and helps bridge the current account deficit.

(iii) In a scenario of high trade and CAD, as in India, allowing the currency to appreciate through non-intervention during times of surge in capital, could have further negative fallout for the BoP by making exports less competitive and imports cheaper.

(iv) Lastly, buying foreign exchange provides more ammunition or intervention when the currency is declining, which could potentially lower currency volatility.

RISKS IN FOREIGN CURRENCY BORROWINGS

Corporate borrowers in India and other emerging economies are keen to borrow in foreign currency to benefit from lower interest and longer terms of credit. Such borrowings however, are not always helpful, especially in